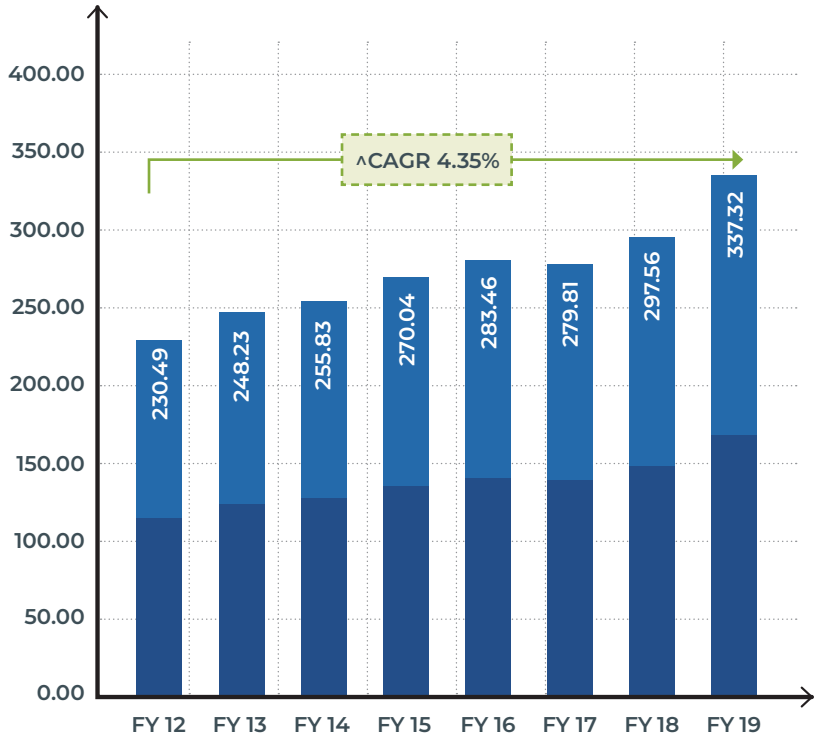


Supply Analysis for Indian Cement Industry.



Source: IBEF report on cement industry - July 2019

- Cement supply has grown at a CAGR of 4.35% since FY12.
- The industry is expected to increase in line with demand.
- New supply increases depending upon limestone reserve availability. However, there is ample idle capacity to incentivise less aggressive expansion plans by companies.
- Also, cement plants are expensive. So outside entry is difficult.

- The method used for such basic demand analysis is secondary research from industry research reports also confirmed via individual management commentary.
- Sources used include media sources, CRISIL, CARE Ratings and Ultratech Cement AR.

Conclusion

The cement industry has a supply and capacity outlook that is in line with demand growth. An oversupply scenario is unlikely.